

company sells to make money. He was confident that the stock would continue to decline and be worth the risk of a trade.

Price climbed from A to B and retraced to C. “When the V-top grew an extension [C to D)], that's when I decided to trade the pattern.”

For grins, he computed whether this was a short or tall, narrow or wide pattern. The high at B was 14.90 and the low at A was 12.18 for a height of 2.72. The breakout price was the low at C, or 13.51. That gave the height-to-breakout price ratio of 20.1%. So the pattern was short (bad) according to the median in [Table 72.5](#).

The start of the V was on 11 September 2018 and the end of the extension was 3 October 2018 for a width of 25 days. Narrow is good. A pattern both short and narrow according to [Table 72.5](#) is second-to-worst performance of the four combinations. That's not ideal, and it implies a higher risk trade.

The measure rule target is the left side of the V, or 12.18 (A). The half-height target would be $14.90 - 2.72/2$ or 13.54. The low at point C (13.51) is below the half-height target, so that's no help.

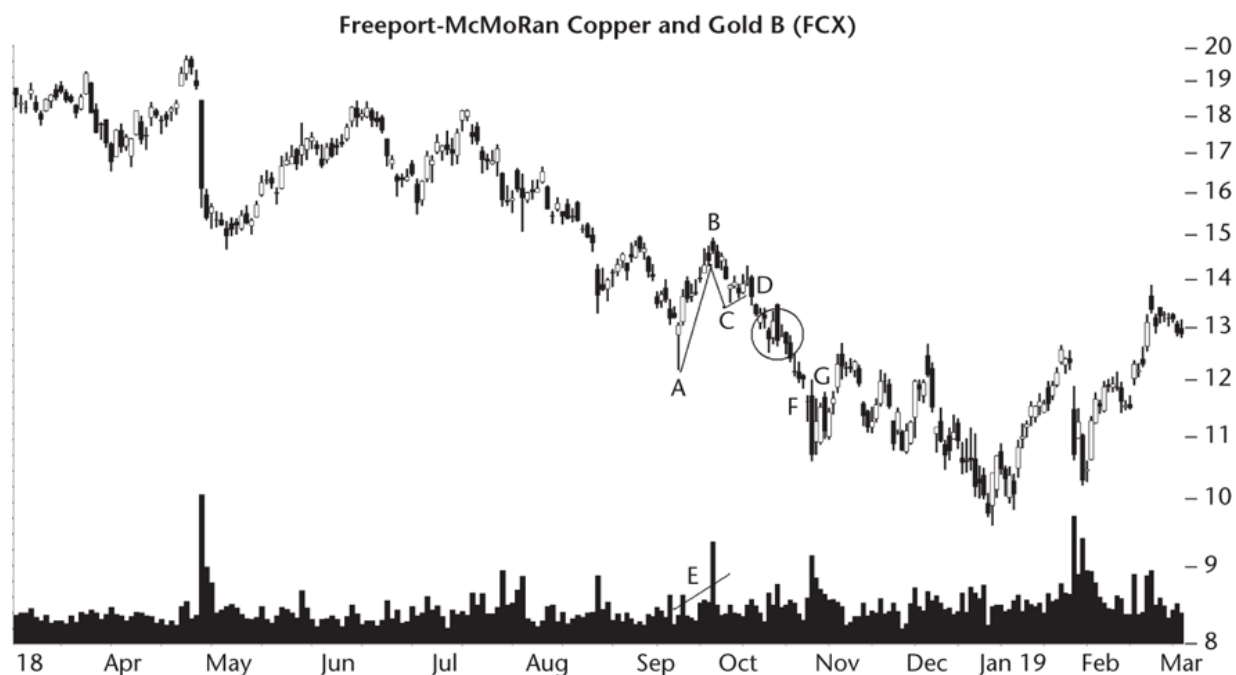


Figure 72.4 Stan uses lower highs to exit this extended V-top trade.

He set the bottom of the V as his target and shorted the stock at a price of 13.50, or a penny below C.